CATERPILLAR®

DEALER BEST PRACTICE SERIES

Considerations When Extending a MARC

Application | Maintenance | Site Management | Component Rebuild | Component Life Management | Safety | **MARC Management**

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1.0 Introduction

There are many reasons a dealer and customer would want to extend a Maintenance and Repair Contract (MARC) on an existing machine or fleet of machines. There are also a number of considerations when developing the contract extension. It is important to understand how the current contract is performing financially as well as the customer's motivation for seeking an extension. In the end, Proper financial modeling and a solid understanding of the customer's mine strategy are critical to developing a contract that will provide value for both parties and keep the customer looking to the Caterpillar dealer to help manage their fleets for a long time to come.

2.0 Best Practice Description

This Best Practice discusses the following:

1. Why extend a MARC?
2. Terms and Conditions of an extension
3. Financial Modeling and Rate Development of an extension
4. Risk Mitigation

The information presented in this Best Practice was developed from the experience of those considered to be the premier Caterpillar MARC dealers worldwide.

3.0 Implementation Steps

Review the attached presentation and proceed with the following:

1. Determine the main reasons (motivations) for extending the contract
    a. Both customer and dealer motivations
2. Engage the customer to understand their long-term strategy
    a. Both the contract fleet and the entire mine-site
3. Establish the Terms and Conditions of the contract extension
    a. Based on the mine plan and above motivations
4. Develop the new contract rates based off of the original contract performance and financial modeling
    a. Review the existing contract data and financial performance
    b. Take into account customer's long-term objectives
5. Include a risk mitigation strategy when developing both the Terms (3) and the Rates (4)

4.0 Benefits

Considering these factors when extending a Maintenance and Repair Contract can help a dealer to mitigate much of the contract risk up front resulting in fewer unexpected and unbudgeted costs. In addition, appropriate financial modeling of the current contract when developing the extension will likely result in higher contract profitability. Finally, understanding the customer's needs and objectives when building a contract extension will increase customer satisfaction and can result in future business.

5.0 Resources Required

1. Existing contract documentation
2. Existing contract "to date" actual data in order to assess the current financial performance
3. Financial Modeling Software (Analyzer or equivalent)
4. Understanding of the customer expectations, plans for and economic life of the mine

6.0 Supporting Attachments / References

Accompanying document: **Contract Extension Strategies: *Considerations when extending a MARC.ppt***

Note: The information contained within the attached presentation are not rules, rather considerations that can be applied to a dealer's / customer's specific circumstances.

7.0 Related Best Practices

0407-3.3-1075 Contract Language
0906-3.3-1009 MARC Rate Development
0906-3.3-1021 Developing a MARC Management Plan

8.0 Acknowledgements

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